

Chapter 8

MCQs

Question 1

What is Debt?(Section 1: What is Debt? Understanding Loans in Family Contexts) Debt is best defined as:

- ☐ A) Money you save for future goals.
- ☐ B) Money you borrow with a promise to repay, often with interest.
- ☐ C) Money you earn from a job or allowance.
- ☐ D) Money you spend on daily needs like food.
Correct Answer: b) Money you borrow with a promise to repay, often with interest.

Note: No correct answer specified for this question

Question 2

Common Reasons for FamilyLoans(Section 1: What is Debt? Understanding Loans in Family Contexts) Which of the following is a common reason families might take on debt?

- ☐ A) Buying a new video game console for entertainment.
- ☐ B) Taking a luxury vacation abroad.
- ☐ C) Paying for a home or car through a loan.
- ☐ D) Purchasing daily groceries.
Correct Answer: c) Paying for a home or car through a loan.

Note: No correct answer specified for this question

Question 3

Understanding Interest Rates (Section 2: Interest Rates and Borrowing: Education Loans, Personal Loans, and More) What is an interest rate?

- ☐ A) The total amount of money borrowed.
- ☒ B) A fee or percentage charged on borrowed money as the cost of borrowing.
- ☐ C) The monthly payment made to repay a loan.
- ☐ D) The time period over which a loan is repaid. Correct Answer: b) A fee or percentage charged on borrowed money as the cost of borrowing.

Note: No correct answer specified for this question

Question 4

Types of Loans (Section 2: Interest Rates and Borrowing: Education Loans, Personal Loans, and More) Which type of loan typically has a higher interest rate due to being unsecured and riskier for lenders?

- ☐ A) Education Loan
- ☐ B) Home Loan
- ☐ C) Personal Loan
- ☐ D) Car Loan Correct Answer: c) Personal Loan

Note: No correct answer specified for this question

Question 5

Cultural Views on Debt (Section 3: Cultural Perspectives on Debt: Why Avoiding Unnecessary Borrowing Matters)
In many cultural contexts, such as in Indian traditions, debt is often:

- ☐ A) Encouraged for all types of purchases to build wealth.
- ☐ B) Seen as a last resort and avoided for non-essential items.
- ☐ C) Considered irrelevant to financial planning.
- ☐ D) Always viewed as a positive way to achieve goals. Correct Answer: b) Seen as a last resort and avoided for non-essential items.

Note: No correct answer specified for this question

Question 6

Avoiding Unnecessary Debt (Section 3: Cultural Perspectives on Debt: Why Avoiding Unnecessary Borrowing Matters) What is one key reason to avoid unnecessary debt, as discussed in the chapter?

- ☐ A) It helps you spend more on fun activities.
- ☐ B) It prevents financial stress and preserves future freedom.
- ☐ C) It guarantees a higher credit score instantly.
- ☐ D) It ensures you can borrow more in the future. Correct Answer: b) It prevents financial stress and preserves future freedom.

Note: No correct answer specified for this question